The Nayak Narrative

The Ag-Au Rush & Hush

Understanding the history of gold & silver along with its supply & demand trends in today's economy.

- By Aditya Nayak

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Overview

Gold and silver have always been known as earth's precious metals & is the most sought in every corner of the world. It is mainly prized for its luster, scarcity and unique properties. Having the chemical symbols ***Ag*** and ***Au*** with atomic numbers 47 and 79 respectively, they are dense, good conductors of heat & electricity, soft, malleable & ductile of all elements in the periodic table. It has also played an essential role in the human world as we know of today. Since gold is rarely available, visually pleasing and workable and does not tarnish or corrode compared to silver, it was one of the first metals to attract human attention & played an economic aspect right from the beginning of human history, it played an important role in the fields of trade, currencies & industrial usages.[1] Gold has also been seen influencing many cultures resembling divinity and eternity such as it being linked to the sun god Ra in Egypt as the "flesh of the gods", or representing the divine energy of the goddess Lakhsmi in Hinduism, or the representation of luck and prosperity during the Lunar New Year in China while the Aztecs implied it as "god excrement", highlighting its sacred yet earthly origins.[2] [3] In summary, gold has played a role in multiple aspects from having unique physical traits, millennia-spanning history, and profound cultural resonance underscoring its unparalleled status as a precious metal. From ancient Egyptian artifacts to today's investment bullion, it has shaped civilizations and economies alike. This overview sets the stage for examining gold's contemporary extraction challenges and industrial innovations ahead.

History

Gold has profoundly shaped economies through its role as currency or store of value, influenced cultures as a divine symbol of power & prosperity, and sparked moral debates on greed, exploitation, and equity throughout history. It has played a central role in shaping the global economy across centuries. In ancient Greece, the introduction of gold and silver coins revolutionized trade and accelerated cultural and scientific progress. Rome later amassed vast reserves through conquest, but its reliance on gold eventually contributed to cycles of abundance, following decline. After Rome’s fall, Constantinople and then Baghdad became major centers of trade, with gold circulating widely across the Mediterranean and beyond.[4]

By the Middle Ages, Venice rose as the financial hub of Europe, pioneering banking practices and creating the gold ducat, which became a global currency. The discovery of the New World shifted wealth to Spain, sparking inflation and fierce competition among European powers. Over time, economic leadership passed from Antwerp to Genoa, Amsterdam, and finally London, where the gold standard cemented Britain’s dominance in the 19th century.[5]

During this time, gold also drove the Spainard conquest to a legendary tale tied to its's allure, originated from Muisca rituals in 16th-century Colombia, evolving into a symbol of unattainable riches that drove the European conquest.[6] The legend began with the Muisca chief (zipa) of Lake Guatavita near Bogotá, who coated his body in gold dust for ceremonies, diving into the lake to offer gold and emeralds to water gods - earning him the title "El Dorado" (the Golden One). Spaniards, hearing exaggerated tales from natives, transformed this into a mythical city or kingdom overflowing with gold.[7]

From the 1530s, explorers like Gonzalo Jiménez de Quesada, Sebastián de Belalcázar, and Nicolás Federmann ravaged the Andes seeking it, looting Muisca treasures but finding no city

- leading to Lake Guatavita's draining in 1545, which yielded some artifacts. Later quests by Sir Walter Raleigh in 1595 fueled further violence, clashes, and deaths across South America.[8] El Dorado epitomized gold's economic pull, sparking colonial exploitation, indigenous suffering, and gold rushes that reshaped empires—yet proved illusory, highlighting greed's folly amid real Muisca wealth.[9] [10]

In the 18th and 19th centuries, with the emergence of "rational" thinking, fiat money was developed, backed by gold of equivalent value. But currency notes, relying solely on the confidence of their users, were widely distributed by banks and not correlated with the quantity of gold they possessed. Banks fail and bank runs occur. After the creation of the first central bank in Amsterdam in 1609, new ones were created to provide liquidity to banks in the event of banking contagion. The Banque de France was created in 1800 after the great French financial crisis of the 1790s. However, the world economy continues to rely on the yellow metal.

The 20th century later exposed the limits of gold-backed systems. Wars drained reserves, Nazi Germany seized gold to fund expansion, and the United States emerged as the new global power. The Bretton Woods system tied currencies to the dollar, itself pegged to gold, but mounting financial pressures led Nixon to abandon the gold standard in 1971.

Since then, gold has ceased to function as official currency but remains a trusted store of value. Investors and central banks continue to accumulate it, both as a hedge against uncertainty and as a potential foundation for future financial systems beyond the U.S. dollar dominance.

Whereas for silver, its mining first began around 3000 BCE in Anatolia (modern day Turkey) which helped in flourishing early civilizations in the Near East, Ancient Greece. It became the metal of choice for currency. In the 6th century BCE, the first Athenian tetradrachm was minted: a large silver coin used to pay the weekly wage of a skilled laborer or soldier. It was the first mass-circulated coin, spreading beyond Greece's borders to become the standard coin of the ancient world. Visually, it featured two symbols carved in high relief: on one side Athena, the goddess of wisdom and warfare; on the other an owl, representing learning and knowledge. It was the prototype for the "heads or tails" design still used on coins today.[11]

Fig.1. Image of a silver coin minted in Ancient Greece period

Over time, its center of production shifted from Greece's Laurium mines to Spain that became a major supplier to the Roman Empire which became an essential trading component for Asian spices (mostly towards China). Phoenicians and Romans heavily exploited Spanish mines, producing up to 200 tonnes annually by the 2nd century CE for coins and trade. However, the discovery of the white metal in the Americas following Columbus's landing in the New World in 1492 shaped the appeal of the metal. The events that unfolded in the following years changed the face of silver and the world forever. [12]

In the medieval period, the Spanish conquest of the Americas led to an increase in the mining of silver that dramatically eclipsed anything that had come before that time. Between 1500 and 1800, Bolivia, Peru and Mexico accounted for over 85 percent of world silver production and trade as it bolstered Spanish influence in the New World and elsewhere. Numerous mines emerged in the region, yielding vast amounts of silver. In 1522, the first silver shipments from Mexico arrived in Europe. Peru, with its rich Cerro de Potosí mines, also produced large quantities of silver and gold. Later, California and Australia became major sources of silver. Discoveries of silver in the United States soon surpassed all earlier finds, while in Ontario, Canada, large silver nuggets were unearthed.[13] Like gold, silver has been utilized as a form of currency. Being more readily available and having similar properties as compared to gold, it earned its status as a precious metal due to its rarity, durability, and versatility in ancient societies. These qualities made it a trusted medium for trade, adornment, and value storage.

Pricing of Gold & Silver

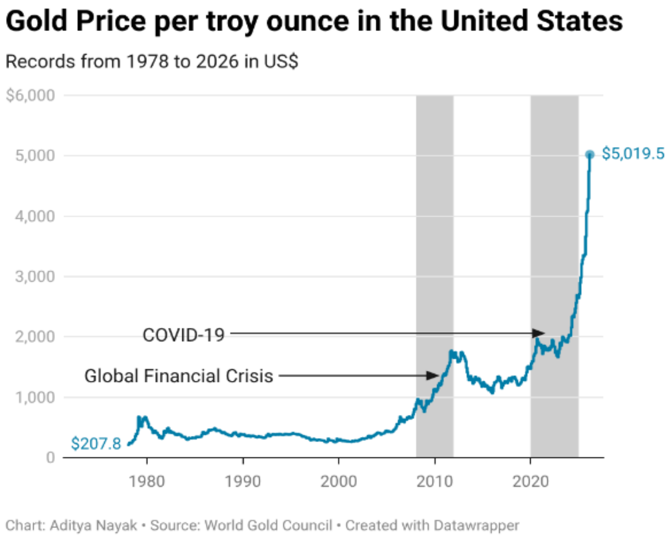
The pricing of gold and silver had been influenced by various institutions in the previous eras. Over the past decades, its prices have been primarily driven by governments and rulers. Rulers in Britan initially fixed the price of gold to the pound, raising its price by one every century. However, as other nations around the world began printing their own currency notes, they discovered that they had to bring back the fiat currency's value. As the generated paper money was worthless, instances of currency debasement took place during inflation periods without the ability to mine additional gold. The invention of paper currency removed the illusion of currency representing any value and inflation inevitably followed high deficit spending or lack of faith in whatever regime ruled at the time. [14]

In order to counter this situation, the idea of a gold standard was introduced. A system in which countries would print the amount of currency notes backing it up with the gold reserves they possessed. This resulted in gold prices being fixed by law which did not fluctuate in nominal prospects resulting in stability and trade and caused deflation during shortages. However, the price of silver fell sharply as it lost monetary status after Coinage Act 1873, plummeting as unlimited minting ended; ratio hit 18:1 by 1880, hurting silver producers calling it the "Crime of 1873".[15] [16] [17]

Later in 1933 the United States temporarily suspended the Golden Standard which tended to stabilize or raise the general price level in countries that left gold according to a report with the Leage of Nations. Leaving the gold standard provided countries "more latitude to expand their money supplies and thus to escape deflation". Countries off gold in 1933-1935 showed average money supply (M0) growth of 3-6% annually. Whereas, countries that stayed on gold continued to experience deflation through the early-mid 1930s, with persistent price declines even after the initial 1930-31 deflationary shock. For example, among the 14 countries abandoning gold in 1931, wholesale prices stabilized after their departure and showed average inflation of around 2-4% annually from 1934-1936. In contrast, the Gold Bloc countries (France, Netherlands, Poland) continued deflating through 1935.[18] In highlight of these events gold and silver prices surged dramatically from fixed levels due to free-market forces, inflation, and supply-demand imbalances. Gold jumped from its fixed $35/oz under the Bretton Woods system to $120/oz by year-end 1971, then exploded to $850/oz peak in January 1980 amid 1970s stagflation, oil crisis, and loose monetary policy. Silver followed sharply, from ~$1.60/oz pre-1971 to $50/oz peak in 1980 during the Hunt brothers' attempted corner, with the ratio compressing to 17:1 before widening. With this, Fiat shift enabled money printing, fueling chronic inflation (US CPI up 500%+ since 1971); gold averaged ~7% annual returns, hitting $2,000+/oz by 2020s. Silver, more industrial, saw greater volatility - falling to $4/oz in 2001, rallying to $50 in 2011 on green tech demand - but lagged gold long-term due to abundant supply.[19]

In August 1971, Richard Nixon announced that the U.S. would eliminate the conversion of U.S. dollars into gold resulting in the formal disconnection of gold and completely ending the golden standard. With this, the U.S. dollar, and by extension, the global financial system it effectively sustained, entered the era of fiat money.[19]

With this, the precious metals prices became market-driven and started responding mainly to macro-financial conditions, investor behavior, and industrial demand rather than official monetary pegs. Today, their prices are now set in global commodity and financial markets, so anything that shifts demand or supply (or the value of money itself) moves them.



Some of the main drivers of the main drives of gold prices are:

1. **Industrial demand (electronics, solar, etc.)**

   - Silver is heavily used in electronics, solar panels, and various manufacturing processes, so industrial output and technological trends strongly influence demand.
   - Recent analyses highlight structural supply deficits driven by rapidly growing industrial demand and limited ability of mine supply to keep up.[20] [21]

2. **Investment and monetary demand**

   - Silver also acts as a “monetary metal,” benefiting from the same safe-haven and inflation-hedging motives that support gold, though usually with higher volatility.
   - During inflation scares or monetary easing cycles, investment demand can add to industrial demand, creating powerful upside moves, as seen in the late 1970s and other speculative episodes. [20] [21]

3. Supply constraints and above-ground inventories

- New supply depends on both primary silver mines and by-product output from other metals; tight supply and declining above-ground stocks can create physical market squeezes.
- Industry observers point to persistent structural deficits and shrinking inventories as a reason for medium-term bullishness on silver prices. [20] [21]

4. Macro factors: real rates, dollar, and risk sentiment

- As with gold, silver responds to real interest rates, inflation expectations, and the dollar, but it often behaves more pro-cyclically due to its industrial linkages.
- In strong global expansions, silver can outperform gold because industrial demand and speculative interest rise together; in sharp downturns, its industrial component can make it fall more than gold. [20] [21]

5. Speculation and market episodes

- Silver's thinner market and dual role make it vulnerable to speculative booms and busts, such as the late-1970s price spike above 40 dollars per ounce driven by heavy speculative buying.
- Modern leverage through futures and leveraged products can still generate rapid swings disconnected from short-run fundamentals. [20] [21]

Whereas, the main drivers of the main drives of gold prices are:

1. **Real interest rates**

   - Empirically, real yields (e.g. TIPS yields) are one of the strongest explanatory variables for gold prices: when real rates fall or turn negative, gold tends to rise because it doesn't pay interest, so its relative opportunity cost drops.
   - Studies find a clear negative relationship between real yields and gold; lower real yields and concerns about future inflation often coincide with higher gold prices. [21] [22]

2. **Inflation & inflation expectations**

   - Gold is widely used as a hedge against the loss of purchasing power, so persistent or expected high inflation increases demand from investors and households.
   - However, it reacts more to expectations of sustained inflation than to short-lived price spikes; when inflation appears temporary and central banks are credible, gold's response is more muted. [21] [22]

3. **U.S. dollar strength / weakness**

   - Gold is priced globally in dollars, so a weaker dollar makes gold cheaper in other currencies and can boost non-U.S. demand; a stronger dollar tends to have the opposite effect.
   - Empirical work often includes the dollar index as a key explanatory variable, typically finding a negative relationship between the dollar and gold prices. [21] [22]

4. **Central bank reserves and policy**

   - Central banks still hold significant gold reserves and their net purchases or sales affect overall demand; coordinated buying can support prices, while large-scale selling can pressure them.

- Post-1990s, many emerging-market central banks have increased gold holdings as a diversification away from dollar assets, contributing to structural demand. [21] [22]

5. **Investment products & speculative flows**
   - The rise of ETFs, futures, and other gold-linked products has made it easier to hold and trade gold, amplifying investment and speculative flows into the metal.
   - This financialization can increase volatility and can generate overshooting in both directions during episodes of strong inflows or outflows. [21] [22]
6. **Jewelry & physical demand**
   - Jewelry demand in Asian countries like India and China remains a major component of physical gold demand, with incomes, cultural factors, and local policy (e.g. import duties) all playing a role.
   - While cyclical, this consumer base gives gold a relatively stable underlying demand even outside financial markets. [21] [22]
7. **Safe-haven & geopolitical demand**
   - During financial crises, wars, or political instability, investors seek safe stores of value; gold is a primary beneficiary of "flight to safety" flows.
   - Episodes such as recessions or major market drawdowns often coincide with spikes in gold prices as portfolios rebalance away from risky assets. [21] [22]

While these factors usually fluctuate the prices of gold and silver, however, it does always show a correlation. A recent outlier that has been noticed is the current geopolitical tensions between Isreal & United States with Iran. As the war commenced in March 2026, it was expected that the prices would increase but this trend was not seen. It was later learnt that their extraordinary run in the past few years was not solely driven by retail sentiment or geopolitical tensions but mainly influenced by central banks.[23]

Back in 2022 when the war broke out between Russia & Ukraine, the West froze the Central Russian Bank's reserves. The message was clear to every finance ministry in the world; dollar assets held in Western systems carry political risks. And as gold cannot be frozen by a hostile government or switched off by any international banking consortium, the response was a wave of sovereign buying which pushed the prices to historic high. However, this rhetoric is not seen in the ongoing war with Iran. It is not replicating the similar instance that drove the price of gold upwards similar to that with Ukraine and is not triggering a global scramble to move sovereign reserves out of dollar assets. Rather, central banks have paused accumulation and when a major engine driving gold halts, its price begins to reflect no matter what events are taking place worldwide. [23]

Current usage & additional alternatives

Today, gold and silver serve as key portfolio diversifiers and inflation hedges, with gold offering stability and silver providing higher growth potential tied to industrial demand. However, according to Dhirendra Kumar, CEO of Value Research suggests that putting your money in precious metals should not be considered as an investment but rather as an insurance policy. He explains saying that metals do not tend to produce anything, earns nothing and merely remains idle. [23]

Alternatives to gold and silver include other precious and strategic metals like platinum or palladium via ETFs, which benefit from similar industrial demand but carry greater price swings; rare earth elements tied to tech and renewables offer growth in emerging sectors yet suffer from illiquidity. In addition, Bitcoin and some other cryptocurrencies are now used by part of the market as a "digital gold" alternative, aiming to hedge against currency debasement and capital controls. They are highly liquid and easy to move, but much more volatile and dependent on technology, regulation, and market sentiment than traditional metals.

In practice, investors who want "gold-like" protection usually mix several of these: a core in precious metals, plus some real estate, high-quality bonds or cash, and possibly a small allocation to crypto or collectibles, so that no single asset has to play the entire safe-haven role. [24] [25]

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